

Let us try to solve a hypothetical calculation.
Given: For a stock trading on the exchange,



Find the Intrinsic value and the time value of this ITM call option.

Let's find them together,

$$\begin{aligned}\text{Intrinsic value/ In-built profits} &= \text{Stock price} - \text{Strike price} \\ &= ₹1000 - ₹900 \\ &= ₹100\end{aligned}$$

Now,

$$\text{Option Premium} = \text{Intrinsic value/ In-built profits} + \text{Time value}$$

$$\begin{aligned}\text{So, Time value} &= \text{Option Premium} - \text{Intrinsic value/ In-built profits} \\ &= ₹150 - ₹100 \\ &= ₹50\end{aligned}$$

There we have the two components of option premium. This is how we can solve for other options too.

The only thing to note here is that for ITM options we have an in-built profit value. But for ATM or OTM options, Option premium = Time value of option. This is because, for ATM and OTM the in-built profit value is zero, i.e., they do not have any in-built profits in them.

Try to practice some more practical option pricing questions through the option chain on NSE. Find the in-built profit and time value in the premium amount. Get the hang of it.